

Service Tax (Determination of Value) Rules, 2006

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Union of India - Act

Service Tax (Determination of Value) Rules, 2006

UNION OF INDIA

India

Service Tax (Determination of Value) Rules, 2006

Rule SERVICE-TAX-DETERMINATION-OF-VALUE-RULES-2006 of 2006

Published on 19 April 2006

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Service Tax (Determination of Value) Rules, 2006

Published vide Notification Gazette of India, Extra, Part 2, Section 3(i), dated 19.4.2006
1605.

G.S.R. (E), dated 19.4.2006.- In exercise of the powers conferred by clause (aa) of sub-section (2) of section 94 of the Finance Act, 1994 (32 of 1994), the Central Government hereby makes the following rules, namely:-

1.

Short title and commencement.-

(1)

These rules may be called the Service Tax (Determination of Value) Rules, 2006.

(2)

They shall come into force on the date of their publication in the Official Gazette.

2.

Definitions.-

In these rules, unless the context otherwise requires,-

(a)

"Act" means the Finance Act, 1994 (32 of 1994);

(b)

"section" means the section of the Act;

(c)

"value" shall have the meaning assigned to it in section 67;

(d)

words and expressions used in these rules and not defined but defined in the Act shall have the meaning respectively assigned to them in the Act.

3.

Manner of determination of value.-

Subject to the provisions of section 67, the value of taxable service, [where such value is not ascertainable]

[Substituted for the words "where the consideration received is not wholly or partly consisting of money" by Notification No. G.S.R. 431 (E) dated 6.6.2012 (w.e.f. 19.4.2006)]

shall be determined by the service provider in the following manner:-

(a)

the value of such taxable service shall be equivalent to the gross amount charged by the service provider to provide similar service to any other person in the ordinary course of trade and the gross amount charged is the sole consideration;

(b)

where the value cannot be determined in accordance with clause (a), the service provider shall determine the equivalent money value of such consideration which shall, in no case be less than the cost of provision of such taxable service.

4.

Rejection of value.-

(1)

Nothing contained in rule 3 shall be construed as restricting or calling into question the power of the Central Excise Officer to satisfy himself as to the accuracy of any information furnished or document presented for valuation.

(2)

Where the Central Excise Officer is satisfied that the value so determined by the service provider is not in accordance with the provisions of the Act or these rules, he shall issue a notice to such service provider to show cause why the value of such taxable service for the purpose of charging service tax should not be fixed at the amount specified in the notice.

(3)

The Central Excise Officer shall, after providing reasonable opportunity of being heard, determine the value of such taxable service for the purpose of charging service tax in accordance with the provisions of the Act and these rules.

5.

Inclusion in or exclusion from value of certain expenditure or costs.-

(1)

Where any expenditure or costs are incurred by the service provider in the course of providing taxable service, all such expenditure or costs shall be treated as consideration for the taxable service provided or to be provided and shall be included in the value for the purpose of charging service tax on the said service.

[Explanation.- For the removal of doubts, it is hereby clarified that for the services specified in subclause (zzzx) of clause (105) of section 65 of the Finance Act, 1994, the value of the taxable service shall be the gross amount paid by the person to whom telecom service is provided by the telegraph authority.]

[Inserted by Notification No. G.S.R. 159 (E) dated 1.3.2011 (w.e.f. 1.3.2011)]

(2)

Subject to the provisions of sub-rule (1), the expenditure or costs incurred by the service provider as a pure agent of the recipient of service, shall be excluded from the value of the taxable service if all the following conditions are satisfied,

namely:-

- (i)
the service provider acts as a pure agent of the recipient of service when he makes payment to third party for the goods or services procured;
- (ii)
the recipient of service receives and uses the goods or services so procured by the service provider in his capacity as pure agent of the recipient of service;
- (iii)
the recipient of service is liable to make payment to the third party;
- (iv)
the recipient of service authorises the service provider to make payment on his behalf;
- (v)
the recipient of service knows that the goods and services for which payment has been made by the service provider shall be provided by the third party;
- (vi)
the payment made by the service provider on behalf of the recipient of service has been separately indicated in the invoice issued by the service provider to the recipient of service;
- (vii)
the service provider recovers from the recipient of service only such amount as has been paid by him to the third party; and
- (viii)
the goods or services procured by the service provider from the third party as a pure agent of the recipient of service are in addition to the services he provides on his own account.

Explanation 1.- For the purposes of sub-rule (2), "pure agent" means a person who-

- (a)
enters into a contractual agreement with the recipient of service to act as his pure agent to incur expenditure or costs in the course of providing taxable service;
- (b)
neither intends to hold nor holds any title to the goods or services so procured or provided as pure agent of the recipient of service;
- (c)
does not use such goods or services so procured; and
- (d)
receives only the actual amount incurred to procure such goods or services.

Explanation 2.- For the removal of doubts it is clarified that the value of the taxable service is the total amount of consideration consisting of all components of the taxable service and it is immaterial that the details of individual components of the total consideration is indicated separately in the invoice.

Illustration 1.- X contracts with Y, a real estate agent to sell his house and thereupon Y gives an advertisement in television. Y billed X including charges for Television advertisement and paid service tax on the total consideration billed. In such a case, consideration for the service provided is what X pays to Y. Y does not act as an agent behalf of X when obtaining the television advertisement even if the cost of television advertisement is mentioned separately in the invoice issued by X. Advertising service is an input service for the estate agent in order to enable or facilitate him to perform his services as an estate agent

Illustration 2.- In the course of providing a taxable service, a service provider incurs costs such as traveling expenses, postage, telephone, etc., and may indicate these items separately on the invoice issued to the recipient of service. In such a case, the service provider is not acting as an agent of the recipient of service but procures such inputs or input service on his own account for providing the taxable service. Such expenses do not become reimbursable expenditure merely because they are indicated separately in the invoice issued by the service provider to the recipient of service.

Illustration 3.- A contracts with B, an architect for building a house. During the course of providing the taxable service, B incurs expenses such as telephone charges, air travel tickets, hotel accommodation, etc., to enable him to effectively perform the provision of services to A. In such a case, in whatever form B recovers such expenditure from A, whether as

a separately itemised expense or as part of an inclusive overall fee, service tax is payable on the total amount charged by B. Value of the taxable service for charging service tax is what A pays to B.

Illustration 4.- Company X provides a taxable service of rent-a-cab by providing chauffeur-driven cars for overseas visitors. The chauffeur is given a lump sum amount to cover his food and overnight accommodation and any other incidental expenses such as parking fees by the Company X during the tour. At the end of the tour, the chauffeur returns the balance of the amount with a statement of his expenses and the relevant bills. Company X charges these amounts from the recipients of service. The cost incurred by the chauffeur and billed to the recipient of service constitutes part of gross amount charged for the provision of services by the company X.

6.

Cases in which the commission, costs, etc., will be included or excluded.-

(1)

Subject to the provisions of section 67, the value of the taxable services shall include,-

(i)

the commission or brokerage charged by a broker on the sale or purchase of securities including the commission or brokerage paid by the stock-broker to any sub-broker;

(ii)

the adjustments made by the telegraph authority from any deposits made by the subscriber at the time of application for telephone connection or pager or facsimile or telegraph or telex or for leased circuit;

(iii)

the amount of premium charged by the insurer from the policy holder;

(iv)

the commission received by the air travel agent from the airline;

(v)

the commission, fee or any other sum received by an actuary, or intermediary or insurance intermediary or insurance agent from the insurer;

(vi)

the reimbursement received by the authorised service station, from manufacturer for carrying out any service of any motor car, light motor vehicle or two wheeled motor vehicle manufactured by such manufacturer;

(vii)

the commission or any amount received by the rail travel agent from the Railways or the customer;

(viii)

the remuneration or commission, by whatever name called, paid to such agent by the client engaging such agent for the services provided by a clearing and forwarding agent to a client rendering services of clearing and forwarding operations [in any manner;]

[Substituted for the words "in any manner; and" by Notification No. G.S.R. 209 (E) dated 17.3.2012 (w.e.f. 19.4.2006)]

(ix)

the commission, fee or any other sum, by whatever name called, paid to such agent by the insurer appointing such agent in relation to insurance auxiliary services provided by an [insurance agent; and]

[Substituted for the words "insurance agent" by Notification No. G.S.R. 209 (E) dated 17.3.2012 (w.e.f. 19.4.2006)]

(x)

[the amount realised as demurrage or by any other name whatever called for the provision of a service beyond the period originally contracted or in any other manner relatable to the provision of service.]

(2)

Subject to the provisions contained in sub-rule (1), the value of any taxable service, as the case may be, does not include-

(i)

initial deposit made by the subscriber at the time of application for telephone connection or pager or facsimile (FAX) or telegraph or telex or for leased circuit;

(ii)

the airfare collected by air travel agent in respect of service provided by him;

(iii)

the rail fare collected by rail travel agent in respect of service provided by him; and

(iv)

[interest on delayed payment of any consideration for the provision of services or sale of property, whether moveable or immovable]

[* * *]

[Omitted by Notification No. G.S.R. 209 (E) dated 17.3.2012 (w.e.f. 19.4.2006)]

7.

Actual Consideration to be the value of taxable service provided from outside India

.- (1) The value of taxable service received under the provisions of Section 66-A, shall be such amount as is equal to the actual consideration charged for services provided or to be provided.

(2)

Notwithstanding anything contained in sub-rule (1), the value of taxable services specified in clause (ii) of Rule 3 of Taxation of Services (Provided from Outside India and Received in India) Rules, 2006, as are partly performed in India, shall be the total consideration paid by the recipient for such services including the value of service partly performed outside India.

[Substituted by Notification No. G.S.R. 431 (E) dated 6.6.2012 (w.e.f. 19.4.2006)]

[Inserted by Notification No. G.S.R. 209 (E) dated 17.3.2012 (w.e.f. 19.4.2006)]

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